

PRELIMINARY BUSINESS STUDIES

Business Planning: Establishing an SME

REVISION

Small to medium enterprises, the influences on establishing a business, the business planning process, and the critical issues in success and failure

Learning intention

We are revising how a small to medium enterprise is established and planned - from the influences on starting a business, through to the planning process itself and what actually determines success or failure.

Success criteria - I can:

- I can describe what an SME is, its role, its economic contribution, and why so many succeed or fail.
- I can outline the personal, market, finance, legal, HR and tax influences on establishing a business.
- I can explain situational analysis (including SWOT), vision/goals/objectives, organising resources and break-even analysis.
- I can identify the critical issues in business success and failure, including competitive advantage and technology.

PART 1

Small to Medium Enterprises (SMEs)

What counts as an SME?

An SME is a business with fewer than 200 employees and annual turnover under \$10 million - and they make up about 98% of all Australian businesses.

1

MICRO

Fewer than 5 employees.

2

SMALL

5 to 19 employees.

3

MEDIUM

20 to 199 employees.

4

LARGE

200 or more employees -
no longer an SME.

Common characteristics and role

Most SMEs share the same handful of features, and the same broad role in the economy.

1

LOCAL & PERSONALISED

Often serve a local market with a personal relationship to customers.

2

OWNER-FUNDED

Usually rely on the owner's own money rather than large external investors.

3

SMALL MARKET SHARE

Hold a small share of their industry compared to large businesses.

4

ROLE

Provide a wide range of goods and services, and contribute to research and development.

Economic contribution

Small and doesn't mean insignificant - together, SMEs are a major part of the Australian economy.

1

GDP

Contribute around 55% of the total value of goods and services sold in Australia each year.

2

EMPLOYMENT

Employ roughly 68% of all private sector workers.

3

TRADE

Account for about 88% of exporting businesses, worth around 50% of total export revenue.

4

R&D

Responsible for a large share (around 43%) of all business spending on research and development.

Keys to success vs reasons for failure

KEYS TO SUCCESS

Flexibility, a strong reputation, focusing on a market niche, entrepreneurial ability, and access to good information.

REASONS FOR FAILURE

Poor management, lack of market research, and poor financial management are the three most common causes.

The numbers are sobering

Around 20% of new businesses fail in their first year, and roughly 60% fail within three years - which is exactly why the planning process in this deck matters so much.

Quick check: SME or not?

A local bakery has 8 employees and turns over \$600,000 a year. A national hardware chain has 4,500 employees across Australia.

Task: which one is an SME, and which size category does the bakery fall into? Next slide has the answer.

Answer: SME or not?

The bakery is an SME

8 employees and \$600,000 turnover falls well under the 200-employee, \$10 million threshold - specifically, it's a small business (5-19 employees).

The hardware chain is not

4,500 employees is well over 200 - it's a large business, not an SME.

PART 2

Influences in Establishing an SME

Personal qualities

The person behind the business matters just as much as the business idea itself.

1

QUALIFICATIONS & SKILLS

Financial, communication, negotiation, organisation, problem-solving and leadership skills.

2

MOTIVATION

A person's own drive and determination to achieve a goal.

3

ENTREPRENEURSHIP

The willingness to start, operate and assume the risk of a business venture.

4

CULTURAL BACKGROUND & GENDER

Bring different knowledge, networks and life experience to a business.

Sources of information

Before starting a business, owners draw on professional and government sources rather than guessing.

1

PROFESSIONAL ADVISERS

Accountants, solicitors and bank managers.

2

GOVERNMENT AGENCIES

The ABS, the ATO, and state small business support services.

3

OTHER

Industry chambers of commerce and trade associations.

The business idea: competing on cost or difference

COST LEADERSHIP

Keeping costs lower than competitors, without sacrificing quality - so the business can compete on price.

PRODUCT DIFFERENTIATION

Standing out through quality, design, features, durability, style or performance - competing on being different, not cheapest.

Know the competition first

Every business idea should be tested against existing competitors in the market before the owner commits.

Establishment options: new, existing or franchise

There are three very different ways to become a business owner.

1

NEW

Creating something unique. Full freedom to set the pace of growth - but high risk, and no existing customer base.

2

EXISTING

Buying a business that already trades. Instant income from existing customers - but its image, or a reliance on the old owner's personality, may be hard to change.

3

FRANCHISE

Buying the right to trade under an established name. Comes with brand recognition and support - but high upfront cost and little flexibility.

Market: goods and/or services, price, location

A business must research its market thoroughly before deciding what to sell, what to charge, and where to trade.

1

GOODS AND/OR SERVICES

Decided using surveys, questionnaires, interviews and focus groups - not assumptions.

2

PRICE

Set using one of several pricing methods, covered in more detail in the planning process ahead.

3

LOCATION

Shopping centre, retail strip, online or home-based - different businesses suit different locations.

Finance: debt vs equity

DEBT FINANCE

Borrowed money that must be repaid with interest - e.g. an overdraft or commercial bill (short term), or a mortgage or debentures (long term).

EQUITY FINANCE

Funds contributed by the owner or investors, not borrowed - e.g. retained profits and owner's equity (internal), or issuing shares (external).

Short term vs long term

Short-term finance is borrowed for up to 12 months; long-term finance runs for more than 12 months.

Legal requirements

A business has to clear several legal hurdles before it can even open its doors.

1

BUSINESS NAME

Must be checked for availability, and can be trademarked under the Trade Marks Act 1995.

2

ZONING

Local council rules about where industrial and commercial activity is allowed to take place.

3

HEALTH AND OTHER REGULATIONS

E.g. the Public Health Act 2010 and Food Act 2003 - non-compliance can mean fines or closure.

Human resources and taxation

Two influences that affect the cost of running the business from day one.

1

HARD SKILLS

Specific, measurable abilities like a qualification, typing speed or machine operation.

2

SOFT SKILLS

Communication, flexibility and leadership.

3

WAGE VS NON-WAGE COSTS

On top of wages, a business pays on-costs - extra benefits like superannuation.

4

TAXATION

PAYG tax, GST, company tax and payroll tax all apply once a business starts trading and employing staff.

Quick check: establishment options

Maria wants to open a coffee shop. She is deciding between designing her own unique cafe concept from scratch, or paying to open a Guzman y Gomez under their existing brand.

Task: name the two establishment options Maria is choosing between, and one advantage of each. Next slide has the answer.

Answer: establishment options

New business

Her own concept gives her full freedom to set it up and grow it her way.

Franchise

Guzman y Gomez gives her an established brand, customer base and reputation from day one.

PART 3

The Business Planning Process

Sources of planning ideas: situational analysis

Before writing a plan, a business analyses its own capabilities and its position in the market compared to competitors.

A common tool for this is SWOT analysis (Strengths, Weaknesses, Opportunities, Threats) - standard elaboration, not literal syllabus wording.

1

INTERNAL & EXTERNAL

What's happening inside the business, and in the wider market around it.

2

SIZE & TRENDS

The size of the market, and how it's changing over time.

3

TARGET MARKET

The characteristics of the customers the business is aiming for.

4

PRODUCT LIFE CYCLE

Where the product sits - introduction, growth, maturity or decline.

Vision, goals and objectives

These three sit in a hierarchy - each one gets more specific than the last.

1

VISION

A broad statement of what the business aspires to become in the future - guides everyone in it.

2

GOALS

Specific statements of what the business intends to achieve - financial, social or environmental.

3

OBJECTIVES

Even more specific, measurable statements of what's needed to reach each goal - written to be SMART.

Types of business goals

A business usually pursues a mix of goals at once, not just one.

1

FINANCIAL

Profit, market share, growth or diversification.

2

SOCIAL

Community service, employment provision, social justice.

3

ENVIRONMENTAL

Sustainability, reducing waste, corporate social responsibility.

Organising resources

Once goals are set, the business allocates its resources across each key function to work toward them.

This is the same coordination-of-functions idea covered in the Business Management topic - here it's applied specifically to planning a new SME.

1

OPERATIONS

The people, equipment and processes that produce the good or service.

2

MARKETING

The budget and resources put toward reaching the target market.

3

FINANCE

The funds allocated to each part of the business.

4

HUMAN RESOURCES

The staff recruited, trained and rostered to do the work.

Forecasting: revenue, cost and break-even

Forecasting estimates what a business will earn and spend, so it knows how many sales it actually needs.

1

TOTAL REVENUE

The total amount received from selling goods or services.

2

FIXED COSTS

Costs that don't change with sales - e.g. rent, insurance, council rates.

3

VARIABLE COSTS

Costs that rise and fall with sales - e.g. raw materials, wages, shipping.

4

BREAK-EVEN POINT

The level of sales where total revenue exactly equals total cost - no profit, no loss.

Calculating the break-even point

Break-even point (units) = Total fixed costs ÷ (Selling price per unit – Variable cost per unit)

1

SELLING PRICE PER UNIT

How much each unit is sold for.

2

VARIABLE COST PER UNIT

How much each unit costs to make.

3

THE GAP BETWEEN THEM

This is the contribution each sale makes toward covering fixed costs.

Quick check: break-even point

A candle business has total fixed costs of \$4,000 a month. Each candle sells for \$25 and costs \$15 to make.

Task: calculate how many candles the business needs to sell each month to break even. Next slide has the answer.

Answer: break-even point

400 candles

$\$4,000 \div (\$25 - \$15) = \$4,000 \div \$10 = 400$
candles a month.

Remember

Selling fewer than this each month means the business is making a loss, not a profit.

Cash flow projections and monitoring

A plan is only useful if the business keeps checking its actual results against what it projected.

1

CASH FLOW PROJECTIONS

An estimate of cash inflows and outflows for the period ahead, so the business can see cash shortfalls coming.

2

SALES

Tracked to see which marketing strategies are actually working.

3

BUDGETS

Compared against actual spending to see which processes need adjusting.

4

PROFIT

Checked to see whether costs need to be better managed.

Taking corrective action

When actual performance doesn't match the plan, the business adjusts - often by changing the marketing mix.

1

MODIFYING PRODUCT

Changing features, quality or variety.

2

MODIFYING PRICE

Raising, lowering or restructuring pricing.

3

MODIFYING PROMOTION

Running new campaigns or offers.

4

MODIFYING PLACE

Changing where or how the product is sold.

Quick check: taking corrective action

A new gym's actual member sign-ups are well below what its plan projected for the first three months.

Task: suggest one piece of corrective action from each of two different Ps of the marketing mix. Next slide has a sample answer.

Sample answer: taking corrective action

Price

Offer a discounted first-month membership to lower the barrier to joining.

Promotion

Run a local social media campaign or referral offer to rebuild awareness.

PART 4

Critical Issues in Business Success and Failure

The importance of a business plan

A business plan is a written statement of a business's goals and the steps it will take to achieve them - a roadmap to success.

1

KEY ELEMENTS

Executive summary, goals, strategies, business description, and operational, marketing, financial and HR plans.

2

NOT A ONE-OFF

Should be updated every few years, not written once and forgotten.

3

NEEDS MONITORING

Owners must monitor, evaluate and control it against actual performance, as covered in the planning process.

Management: staffing and teams

Managing people moves through the same four stages across an employee's time with the business.

A skills audit - a tool for building a skills inventory - helps a business manage this whole process.

1

ACQUISITION

Planning staffing needs, then recruiting and selecting the right people.

2

DEVELOPMENT

Induction, training and improving staff skills.

3

MAINTENANCE

Monetary and non-monetary benefits that keep good staff.

4

SEPARATION

Voluntary (staff choose to leave) or involuntary (the business ends the employment).

Trend analysis

Trend analysis investigates changes and patterns over time to make forecasting more accurate.

1

WHAT'S TRACKED

Sales, revenue, costs, profits and labour budgets.

2

WHY IT MATTERS

Spotting a pattern early lets a business adjust its plan before a small problem becomes a big one.

Sustaining competitive advantage

ECONOMIES OF SCALE

Greater efficiency from operating at a larger size - buying inputs in bulk, restructuring, or using technology and lower-cost labour.

DIFFERENTIATION

Standing out through quality, features, expertise, flexibility or a self-service option, on goods or services.

Two different paths to the same goal

A business chooses (or blends) one of these strategies to stay ahead of its competitors long-term.

Avoiding over-extension of resources

Over-extension happens when a business takes on too much debt, stock or staff for its actual needs - and it has strategies to avoid each.

1

FINANCIAL

Increase equity to lower gearing, and pace growth appropriately rather than expanding too fast.

2

OPERATIONS

Use just-in-time (JIT) stock management, so inputs arrive only as they're needed.

3

HUMAN RESOURCES

Outsource where appropriate, and use technology to manage labour costs.

Using technology

LEADING EDGE

The most advanced or innovative technology available - e.g. drone-based delivery or AI.

ESTABLISHED

Technology that's already been developed and widely adopted - e.g. computer-aided design or online ordering.

Both cut two ways

Positive: e-marketing, online shopping, better performance. Negative: redundancies, resistance to change, and the need for retraining.

Economic conditions

A business has no control over the wider economy, but has to respond to it.

1

THE BUSINESS CYCLE

Boom, downturn, recession and recovery all change how much customers are willing to spend.

2

LUXURIES VS NECESSITIES

Spending on luxuries falls fastest when the economy slows; necessities are more stable.

3

FLOW-ON EFFECTS

Levels of production and staffing decisions both have to respond to these external conditions.

Quick check: critical issues

A small furniture business keeps buying more stock and hiring more casual staff than it actually needs each month, "just in case" it gets busy.

Task: which critical issue is this business at risk of, and what's one strategy that could help? Next slide has the answer.

Answer: critical issues

Over-extension

Buying too much stock and over-staffing for current demand is a classic sign of over-extending resources.

A fix

Just-in-time stock management would let stock arrive only as it's actually needed, instead of sitting unsold.

Quick-fire recap

How many can you answer without checking your notes?

1

Q1

What's the employee threshold for a business to count as an SME?

2

Q2

Name two influences on establishing an SME.

3

Q3

What does the break-even point actually measure?

4

Q4

Name one reason SMEs commonly fail.

Quick-fire recap: answers

Q1 & Q2

Fewer than 200 employees (and under \$10 million turnover). | Any two of: personal qualities, sources of information, the business idea, establishment options, market, finance, legal, human resources, taxation.

Q3 & Q4

The sales level where total revenue exactly equals total cost - no profit, no loss. | Poor management, lack of market research, or poor financial management.

Revision checklist

Before you move on, check yourself honestly against each success criterion from the start of this deck.

Success criteria - I can:

- I can describe what an SME is, its role, its economic contribution, and why so many succeed or fail.
- I can outline the personal, market, finance, legal, HR and tax influences on establishing a business.
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The big picture

Establishing an SME is a process, not a single decision - and most of what determines success or failure happens before the doors even open.

1

KNOW THE INFLUENCES

Personal, market, finance, legal, HR and tax factors all shape the decision to start.

2

PLAN PROPERLY

Situational analysis, clear goals, organised resources and a realistic break-even point.

3

KEEP CHECKING

Monitor sales, budgets and profit, and take corrective action when reality doesn't match the plan.

4

WATCH THE CRITICAL ISSUES

Competitive advantage, avoiding over-extension, technology and economic conditions all decide who's still trading in five years.

References

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